PENGZHEN LI

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EDUCATION

University of Tennessee, Knoxville expected May 2027
Ph.D. in Economics

Shandong University, Jinan 2018
M.A. in Finance — thesis published in *Technological Forecasting and Social Change* (2019)

Tongji University, Shanghai 2015
B.A. in Economics

RESEARCH INTERESTS

International Trade, Trade Policy, Environmental and Energy Economics, and Applied Econometrics.

WORKING PAPERS

Selling Down-Market: Market Access and the Quality of Chinese Exports [JMP].
Abstract: Trade liberalization can change export quality through cheaper inputs or through access to foreign buyers. I study the latter, exploiting the 2001 US grant of permanent normal trade relations to China, which eliminated the threat of tariff increases that varied across products. Comparing the same firm's US and non-US sales of a product before and after 2002, I find that quality fell about 5 percent more in highly exposed products than in barely exposed ones. The fall appears on impact, does not detectably reverse, and has no counterpart in the EU. Prices fell, but quantities rose less than the price decline alone predicts. I develop a model in which access lets firms sell down-market, to buyers who value quality less.

Trade Restrictiveness Indices with Discriminatory Tariffs with James Lake.
Abstract: A Trade Restrictiveness Index (TRI) is the uniform tariff that is welfare-equivalent to a country's actual tariff structure. Its standard implementation assigns a single tariff to each product, yet preferential trade agreements make tariffs on the same product differ across exporters, distorting where a country buys as well as what it buys. In an Armington model, we derive a TRI that separates these two distortions: for a small country, the squared index is, to second order, the square of the conventional index evaluated at mean product tariffs plus a term in the variance of tariffs across each product's exporters. We also derive the index for large importers, whose tariffs affect world prices. Across 123 importers over 2000–2020, the dispersion term accounts for 24 percent of the median importer's squared TRI in 2018, up from zero in the early 2000s. Preferences therefore reduce the TRI far less than they reduce average tariffs: in 2018 they cut the median importer's simple average tariff by 16 percent but its TRI by only 5 percent.

The Impact of Mayoral Endorsements on Presidential Election Outcomes: Insights from Brazil with Matt Van Essen and Luiz Lima. *2024 J. Fred and Wilma Holly Award (best second-year paper).*
Abstract: Brazilian mayors' endorsements are valuable to presidential candidates, and a mayor's return from endorsing depends on whom other mayors endorse, because the budgetary prize controlled by the winner is shared among the mayors who backed him. We model endorsements as a static discrete-choice game of incomplete information in which mayors act on public information and private preference shocks. With extreme-value shocks and the payoff from not endorsing normalized to zero, equilibrium

endorsement probabilities map uniquely back to expected payoffs, and an exclusion restriction on payoffs identifies the structural parameters. We estimate the game by maximum likelihood with equilibrium constraints, which avoids computing every equilibrium at each trial parameter value. In Monte Carlo experiments the estimator recovers the structural parameters to within 1 percent and the equilibrium probabilities to within 0.1 percent. An application to a new textual dataset on Brazilian mayors' endorsements is planned.

WORK IN PROGRESS

Trade Restrictiveness Indices 2.0 with Massimiliano Cali, Aufa Doraset, James Lake and Laura Puzzello.

PEER-REVIEWED PUBLICATIONS

"Spatial optimization of the sustainable aviation fuel supply chains from forest residues via fast pyrolysis/hydrotreatment considering feedstock ash content variability." **P. Li**, T. E. Yu, N. Labbé, N. Abdoulmoumine, M. Garcia-Perez, K. P. Hoyt, and B. C. English. *Biomass and Bioenergy*, 208 (2026), 108793.

"Assessing the impact of preprocessing and conversion technologies on the sustainable aviation fuel supply from forest residues in the Southeast USA." **P. Li**, T. E. Yu, C. Trejo-Pech, J. A. Larson, B. C. English, and D. N. Lanning. *Transportation Research Record*, 2678(9) (2024), 639–654.

"Beef price spread relationship with processing capacity utilization." C. Martinez, **P. Li**, C. N. Boyer, T. E. Yu, and J. G. Maples. *Journal of the Agricultural and Applied Economics Association*, 2(1) (2023), 133–145.

"Do green technology innovations contribute to carbon dioxide emission reduction? Empirical evidence from patent data." K. Du, **P. Li**, and Z. Yan. *Technological Forecasting and Social Change*, 146 (2019), 297–303.

PRESENTATIONS

Midwest Economic Theory and International Trade Meetings, Virginia Tech — Spring 2025
University of Tennessee, Economics Brown Bag Seminar Series — Spring 2024, Fall 2024
University of Tennessee, Applied Micro Group — Spring 2024, Fall 2024
Western Regional Science Association, Annual Meeting, Hawaii — 2023
Western Agricultural Economics Association, Annual Meeting, Santa Fe, NM — 2022
Southern Agricultural Economics Association, Annual Meeting, New Orleans, LA — 2022

TEACHING EXPERIENCE

University of Tennessee

Instructor

ECON 351: Monetary Economics — Spring 2025, Spring 2026
ECON 322: The Global Economy: Trade and Development — Summer 2025
ECON 313: Intermediate Macroeconomics — Summer 2026

Teaching Assistant

Ph.D. courses:
ECON 511: Microeconomic Theory — Fall 2023, Fall 2024, Fall 2025
ECON 512: Advanced Microeconomics — Spring 2024
ECON 581: Mathematical Methods in Economics — Summer 2024

Master's courses:
AREC 525: Agribusiness Operations Research Methods — Spring 2022, Spring 2023

RESEARCH EXPERIENCE

Graduate Research Assistant, University of Tennessee — 2021 – present
Graduate Research Assistant, Shandong University — 2016 – 2018

HONORS AND AWARDS

Charles B. Garrison Award for Excellence in Teaching (best teaching), University of Tennessee — 2026
Summer Graduate Assistantship, University of Tennessee — 2025
J. Fred and Wilma Holly Award (best second-year paper), University of Tennessee — 2024
J. Fred and Wilma Holly Fellowship, University of Tennessee — 2023 – present
Graduate Assistantship, University of Tennessee — 2021 – present
Academic Scholarship for Master's Students, Shandong University — 2017
Freshman Scholarship, Shandong University — 2016
Outstanding Rainbow Volunteer, Tongji University (tutoring pupils in Shanghai) — 2013 – 2015
National Endeavor Scholarship, Tongji University — 2014
Tongji Scholarship of Excellence, Third Prize, Tongji University — 2014

SKILLS

Programming Languages: Stata, R, Python, SQL, GAMS, MATLAB, LaTeX, ArcGIS.
Languages: Chinese (native), English (fluent).

REFERENCES

James Lake (Chair)
Associate Professor of Economics
Department of Economics
University of Tennessee
Email: jlake7@utk.edu

Georg Schaur
Leigh Burch III Economics Professor and Haslam Family Faculty Fellow
Department of Economics
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Matthew Van Essen
Lena M. and Clarence A. Garvin, Sr. Professor and Dr. Joe Johnson Faculty Fellow
Department of Economics
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